When the court dismissed the petition, the NGO filed an appeal before a division bench. On 24 December 1994, the division bench asked the CBI to produce records connected with the questioning of Raman Srivastava, and asked if there was even an iota of evidence to establish a prima facie case against the IPS officer.

The investigating agency filed an affidavit on 2 January 1995, stating that 'according to the investigation conducted so far, there was no involvement of Raman Srivastava.' The next day, the court observed that it was not satisfied with the affidavit, and asked the CBI to peruse the entire records and see if the investigation was proceeding in the 'proper line'. The agency again filed for an affidavit, on 7 January 1995.

It said 'the oral and documentary evidence collected during investigation so far was inconsistent with the allegation contained in the interrogation reports of the accused persons recorded by the IB/Kerala Police.' In other words, the CBI found no evidence of spying as claimed by the IB and the Kerala Police. On the involvement of Raman Srivastava, the CBI said 'a serious doubt had arisen with regard to the essential facts on which initial suspicion against him was created.'

The court was not happy. In its judgment of 13 January 1995, the bench said it was not in a position to approve the conclusion arrived at by the CBI that Raman Srivastava was implicated in the case for ulterior motives. The IB, the court said, which had its own investigating machinery, had said in unmistakable terms about the involvement of Raman Srivastava, but the CBI ignored this.

The CBI moved the Supreme Court, and got the adverse remarks of the Kerala high court expunged through an order dated 5 April 1995, but by then, the politicians had had their way. Though Niyamavedi's petition for Srivastava's arrest was dismissed, the high court's adverse remarks were enough to force the government's hand to suspend Srivastava. For Oommen Chandy, who was the charioteer of the Antony faction, this was the ultimate opportunity to hit at Karunakaran. His group ran a relentless campaign against Karunakaran, first accusing him of shielding a central character in the ISRO spy ring and later even implying that the espionage had the